

₹1.5 lakh a year, safely.

Where should it go?

PPF, NPS and NSC for earners aged 25 to 35. The real numbers, the rules that changed, and how to open each one.

You commented "PDF", so here it is. The first salary hike always brings the same question: "Where do I put money that I can't afford to lose?" This guide works out the honest answer at today's rates, flags the tax rules most posts still get wrong, and gives you the exact steps to apply.

- 1 Your tax regime decides the tax benefit.** The 80C and extra ₹50,000 NPS deductions work only in the old regime. The new regime is now the default.
- 2 Lock-in decides the scheme.** NSC is 5 years, PPF is 15, NPS runs till 60. Match the scheme to when you need the money.
- 3 ₹2 lakh is a deduction, not a saving.** The most you save in tax is about ₹62,400 a year, and only at the 30% slab.

PPF RATE

7.1%

NSC RATE

7.7%

PPF AT 40

₹40.7L

DEFAULT RISK

Zero

What your money *actually becomes*

Rates notified for October to December 2026. NPS is market-linked, so it is shown at two assumed returns.

SCHEME	RATE	EACH YEAR	YEARS	YOU PUT IN	YOU END WITH
PPF	7.1%	₹1,50,000	15	₹22,50,000	₹40,68,209
NPS at 8%	Assumed	₹50,000	35	₹17,50,000	₹93,05,107
NPS at 10%	Assumed	₹50,000	35	₹17,50,000	₹1,49,06,340
NSC	7.7%	One time	5	₹1,00,000	₹1,44,903

My own calculation: deposit at the start of each year, compounded yearly. PPF from age 25 to 40, NPS from 25 to 60. Before tax. NPS returns are not guaranteed. Rounded to the rupee.

1 When you can touch the money

SCHEME	LOCK-IN	BEFORE THAT
NSC	5 years	No exit, except on death, court order or if pledged
PPF	15 full financial years	Loan from year 3 to 6, partial withdrawal from year 7
NPS Tier I	Till 60, or 15 years in NPS	Partial withdrawal for specific needs after 3 years

THE ONE THING TO NOTICE

Almost 45% of the PPF corpus is interest you never paid tax on. Starting at 25 instead of 30 is worth more than any rate difference between these schemes.

BEFORE YOU CELEBRATE

₹40 lakh in 15 years will not buy what ₹40 lakh buys today. With inflation mostly in the 4% to 6% range over the last decade, PPF and NSC grow your money by only a few percent a year in real terms. That is the price of zero risk.

The one table *to screenshot*

Every rule that changes your decision, in one place.

	PPF	NPS	NSC
Return	7.1%, reset quarterly	Market-linked	7.7%, fixed 5 yrs
Minimum	₹500 a year	₹1,000 a year	₹1,000
Maximum	₹1.5L a year	No limit	No limit
Lock-in	15 years	Till 60 / 15 yrs	5 years
Old regime	80C	80C + ₹50,000	80C
New regime	No deduction	Employer part only	No deduction
Interest	Tax-free	Tax-free inside	Taxed at slab
At maturity	Tax-free	60% tax-free	Interest taxed
Risk	Sovereign	Market	Sovereign
NRIs	No new account	Yes	No
Where	Post office or bank	Bank, PO or online	Post office

80C is the old-regime deduction capped at ₹1.5 lakh a year. Since 1 April 2026 it is Section 123 of the Income-tax Act, 2025.

2 Five things the viral version gets wrong

- "Save ₹2 lakh in tax."** ₹2 lakh is the deduction. At the 30% slab plus 4% cess, the tax saved is ₹62,400, and only in the old regime.
- "60% of NPS is tax-free, 40% buys an annuity."** Since December 2025, non-government subscribers can take up to 80% as lump sum and annuitise only 20%. The 60% tax-free part is unchanged.
- "NSC interest is taxed only in year 5."** It is taxable every year. Years 1 to 4 are offset by 80C because the interest is treated as reinvested.
- "NSC can be transferred to anyone once."** Only to a nominee or heir, a joint holder, by court order, or when pledged.
- "NPS is for ages 18 to 70."** Entry is now open from 18 to 85, for residents, NRIs and OCIs.

Public Provident Fund, *the tax-free base*

Fifteen years, one yearly habit, and a corpus the taxman never touches.

3 At a glance

ITEM	DETAIL
Rate	7.1% a year, compounded yearly, reset every quarter. Interest counts the lowest balance between the 5th and month-end.
Deposit	₹500 minimum, ₹1.5 lakh maximum per financial year, any number of instalments
₹1.5L a year for 15 years	₹40,68,209, fully tax-free
Loan	Years 3 to 6. Up to 25% of the balance two years back, at 1% above the PPF rate.
Partial withdrawal	From year 7, once a year. Up to 50% of the lower of two balances: end of the 4th year back, or last year.
Early closure	After 5 years, only for serious illness, higher education or a move abroad. 1% interest cut. NRIs keep an old account till maturity only.
Tax	EEE: deposit (old regime, 80C), interest and maturity all exempt. Cannot be attached by a court for your debts.

4 How to open it

- 1 Pick a post office or your bank.** SBI, HDFC Bank, ICICI Bank, Axis Bank and most public sector banks open PPF online.
- 2 Keep PAN, Aadhaar and a photo ready,** add a nominee and deposit at least ₹500.
- 3 Set a standing instruction for 1 to 5 April** so the full year earns interest.

GOOD

- Interest and maturity tax-free in both regimes
- Backed by the Government of India
- Loan and partial withdrawal options
- Extend in 5-year blocks after 15 years

WATCH OUT

- ₹1.5 lakh cap per year
- Rate can change every quarter
- Long 15-year lock-in
- No new account for NRIs

National Pension System, *the long game*

A low-cost, market-linked retirement fund regulated by PFRDA. More growth than PPF, with more ups and downs.

5 At a glance

ITEM	DETAIL
Who can join	Indian citizens (resident or NRI) and OCIs aged 18 to 85
Accounts	Tier I: locked, with tax benefits. Tier II: optional, withdraw any time.
Minimum	Tier I: ₹500 a contribution, ₹1,000 a year. Tier II: ₹250.
Return	Market-linked, not guaranteed. Equity funds have delivered roughly 9% to 12% over long periods.
₹50,000 a year, 25 to 60	About ₹93 lakh at 8%, ₹1.49 crore at 10%
Equity	Up to 75% in the standard scheme. Up to 100% in Multiple Scheme Framework schemes (since Oct 2025, 15-year vesting).
Cost	Under 0.1% a year in the standard scheme, about 0.30% in MSF schemes
Fund managers	SBI, LIC, UTI, HDFC, ICICI Pru, Kotak, Aditya Birla, Tata, Axis, DSP

6 New exit rules for non-government subscribers

CORPUS AT NORMAL EXIT	WHAT YOU CAN DO
Up to ₹8 lakh	Take it all. No annuity needed.
₹8 lakh to ₹12 lakh	Up to ₹6 lakh lump sum; rest as payouts over at least 6 years, or an annuity
Above ₹12 lakh	Up to 80% lump sum, at least 20% into an annuity (was 60 / 40)
Exit before 60 / 15 years	80% must buy an annuity, unless the corpus is ₹5 lakh or less

PFRDA (Exits and Withdrawals under NPS) Amendment Regulations, December 2025. Normal exit means age 60, 15 years in NPS, or retirement.

NPS tax, *regime by regime*

Section 80CCD is now Section 124 of the Income-tax Act, 2025. Limits did not change.

BENEFIT	LIMIT	OLD REGIME	NEW REGIME
Own contribution	Inside the ₹1.5L 80C limit	Yes	No
Extra own contribution	₹50,000 over 80C	Yes	No
Employer contribution	10% of basic + DA (old), 14% (new)	Yes	Yes
Lump sum at exit	60% of corpus	Tax-free	Tax-free
Extra 20% lump sum	60% to 80%	May be taxed at slab unless the law changes	
Annuity income	Monthly pension	Taxed at your slab every year	

7 How to open it

- 1 Go to eNPS on enps.nsdl.com (Protean) or enps.kfintech.com, or use your bank's net banking.
- 2 Verify with Aadhaar or PAN OTP and link your bank account.
- 3 Pick a pension fund and a mix: Auto Choice cuts equity as you age; Active Choice lets you set it.
- 4 Ask HR about corporate NPS. In the new regime, it is the only NPS benefit left.

GOOD

- Very low cost
- Equity growth over 35 years
- Extra ₹50,000 deduction (old regime)
- Employer part deductible in both regimes

WATCH OUT

- Locked till 60 for most
- Returns not guaranteed
- Annuity income is taxed
- No own-contribution deduction in new regime

National Savings Certificate, *the 5-year promise*

Buy once, forget for five years, collect a fixed amount. Good for goals you can see coming.

8 At a glance

ITEM	DETAIL
Rate	7.7% a year, compounded yearly, paid at maturity. Locked on the day you buy.
Deposit	₹1,000 minimum, then multiples of ₹100. No maximum.
₹1 lakh pays	₹1,44,903 after 5 years
Who	Resident individuals, single or joint (up to 3 adults), or for a minor. Not NRIs. Nominee allowed.
Early closure	Only on death of the holder, a court order, or forfeiture by a pledgee
Transfer	Only to a nominee or heir, joint holders, by court order, or when pledged
Tax	Principal under 80C (old regime). Interest taxable every year; years 1 to 4 also count as 80C. No TDS, so declare it yourself.

9 How to buy it

- 1 **Open a Post Office savings account** if you don't have one.
- 2 **Carry Aadhaar, PAN and a photo** with the NSC form, or buy through India Post internet banking.
- 3 **Add a nominee, pay, and keep the e-certificate** with its maturity date.

GOOD

- Rate fixed for the full 5 years
- Backed by the Government of India
- Buy yearly to build a maturity ladder
- Usable as loan collateral

WATCH OUT

- Interest fully taxable
- No early exit
- Post office only
- No deduction in new regime

Three situations, *worked out*

Worked examples to show how the rules interact, not advice for you. Your slab, regime and goals change the answer.

10 Age 28, old regime, 30% slab

WHERE	EACH YEAR	DEDUCTION
PPF	₹1,50,000	₹1,50,000 (80C)
NPS Tier I	₹50,000	₹50,000 (80CCD(1B))
Tax saved		₹62,400

₹2,00,000 × 30% × 1.04 (cess). Adding NSC here gives no extra deduction, because PPF already fills the 80C limit.

11 Same person, new regime, basic pay ₹6 lakh a year

WHERE	EACH YEAR	DEDUCTION
PPF	₹1,50,000	None (interest still tax-free)
Employer NPS at 14%	₹84,000	₹84,000

Only if your employer offers corporate NPS. Your own NPS contribution gets no deduction in this regime.

12 A ₹2 lakh goal, five years away

WHERE	PUT IN	GETS BACK
NSC	₹2,00,000	₹2,89,807

Before tax. The interest is added to your income each year.

THE QUESTION NOBODY ASKS

All three lock your money away. Keep about 6 months of expenses somewhere you can withdraw tomorrow first. Breaking a lock-in early costs more than the extra interest ever earned.

The glossary, *in plain words*

The words the bank, post office or HR will use. Here's what they mean.

PPF

PUBLIC PROVIDENT FUND

A 15-year government savings account with tax-free interest.

"Pathinanju varusham, tax illama valarum."

EEE

EXEMPT, EXEMPT, EXEMPT

No tax when you invest, while it grows, or when you withdraw.

"Podumbodhum, edukkumbodhum tax illa."

Annuity

PENSION FOR LIFE

You hand over part of the corpus and get a fixed monthly pension.

"Corpus kuduthu, maasam pension vaangradhu."

New regime

DEFAULT TAX REGIME

Lower slab rates, almost no deductions.

"Kammi rate, kammi deduction."

NPS

NATIONAL PENSION SYSTEM

A market-linked retirement account regulated by PFRDA.

"Retirement-ku oru pension pot."

Section 80C

NOW SECTION 123

Old-regime deduction of up to ₹1.5 lakh a year.

"Old regime la mattum dhaan."

Tier I / Tier II

NPS ACCOUNT TYPES

Tier I is locked with tax benefits. Tier II is flexible.

"Onnu lock, innonnu free."

Slab rate

YOUR INCOME TAX BRACKET

The rate your total income is taxed at. Taxable interest is added on top.

"Unga income ku endha tax rate oh adhu."

NSC

NATIONAL SAVINGS CERTIFICATE

A 5-year post office certificate with a fixed rate.

"Anju varusham fixed, post office la."

80CCD(1B)

NOW PART OF SECTION 124

Extra ₹50,000 deduction for your own NPS, old regime only.

"80C mela extra ₹50,000."

Lock-in

MINIMUM HOLDING PERIOD

How long the money must stay before you can take it out.

"Ivlo naal edukka mudiyadhu."

Compounding

INTEREST ON INTEREST

Each year's interest also earns interest the next year.

"Vattikku vatti."

How the numbers *were checked*

Every rate here moves. This is where each one came from, checked on 1 October 2026.

1. Small savings rates for October to December 2026 (PPF 7.1%, NSC 7.7%): Ministry of Finance notification, unchanged from the previous quarter.
2. NPS exit limits: PFRDA (Exits and Withdrawals under NPS) Amendment Regulations, December 2025. 100% equity option: PFRDA Multiple Scheme Framework, from 1 October 2025.
3. Section 123 (old 80C) and Section 124 (old 80CCD), regime rules and the 14% employer limit: Income-tax Act, 2025, in force from 1 April 2026.
4. PPF and NSC deposit, loan, withdrawal and transfer rules: Government Savings Promotion rules as published by India Post and the National Savings Institute.
5. Projections are my own calculation: yearly deposit at the start of the year, compounded yearly, before tax. NPS returns are assumptions. Rounded.

13 Check the current rate yourself

WHAT	WHERE
Small savings rates each quarter	dea.gov.in
PPF and NSC rules	indiapost.gov.in · nsiindia.gov.in
NPS rules, open online	pfrda.org.in · enps.nsdl.com · enps.kfintech.com
Tax rules and regime calculator	incometax.gov.in

DISCLAIMER

This guide is for education only. It is not investment, tax or legal advice, and it does not recommend any specific scheme, fund manager, bank or app for you. I am not a SEBI-registered investment adviser.

NPS is market-linked: its value can go down as well as up, and past returns do not guarantee future returns. Rates, limits and tax rules change; verify on the official sites above and speak to a SEBI-registered adviser or a tax professional before investing.

Starting one of these this year? *Tell me which one* in the comments.

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